

FRVO

FRVO N/A

Buy **\$32.12** ▼ **1.12%** 12M Price Target **\$48.00** 52-Week Range **\$30.01 – \$42.65** Market Cap **\$9.46B**

FRVO: Geothermal Meets AI — Nvidia Deal Validates Thesis

WHAT HAPPENED

- Stock drifted down ~1% on light volume (1.4M shares vs ~2.5M average) — this is a quiet, low-conviction sell, not a panic. Translation: nobody's dumping, but nobody's buying the Nvidia partnership news either, which is actually interesting because that deal is a legitimate big deal.
- Last week's earnings miss is still hanging over the stock — sitting at just 17% of its 52-week range tells you sentiment is washed out. That's usually where contrarian setups start.

WHY IT MATTERS

Here's what I think is happening: FRVO had an earnings miss a week ago, then immediately announced a partnership with Nvidia and Pacific Northwest National Lab on a "geothermal digital twin" (basically AI-powered simulation of underground heat reservoirs to optimize drilling). The market is ignoring the partnership and punishing the miss — that's a classic disconnect. The bigger picture: AI data centers are screaming for 24/7 clean power, and geothermal is one of the only renewables that runs all night. Fervo is the most credible enhanced geothermal name out there, and the Nvidia tie-up signals hyperscalers see them as a real supplier, not a science project. Watch for: if a hyperscaler (Google, Microsoft, Meta) announces a direct power purchase agreement with FRVO, the stock re-rates fast.

POLICY & POLITICAL WATCH

The Inflation Reduction Act's geothermal tax credits (the 48E clean electricity investment credit) are FRVO's lifeblood — and the current administration's budget reconciliation talks include language that could either protect or chip away at these. So far geothermal has been the "bipartisan darling" of the clean energy world (red states like Utah, Nevada, Idaho host the projects), so it's survived cuts that hit solar and wind. Also watch the BLM permitting reform push — faster federal land permitting on geothermal projects is in a House energy package right now, and if it passes, FRVO's timeline-to-revenue compresses meaningfully.

IS IT EXPENSIVE?

At a \$9.5B market cap on ~\$285M of expected 2026 revenue, you're paying about \$33 for every \$1 of this year's sales — that's expensive on paper, but the company is expected to nearly double revenue in 2027 as the Utah project comes online. Compare to a mature renewable utility trading at 2-3x sales and yeah, this is priced like a growth story, not a power producer. The question isn't "is it cheap" — it's "do you believe they execute," because at this multiple any delay gets punished hard (see: last week).

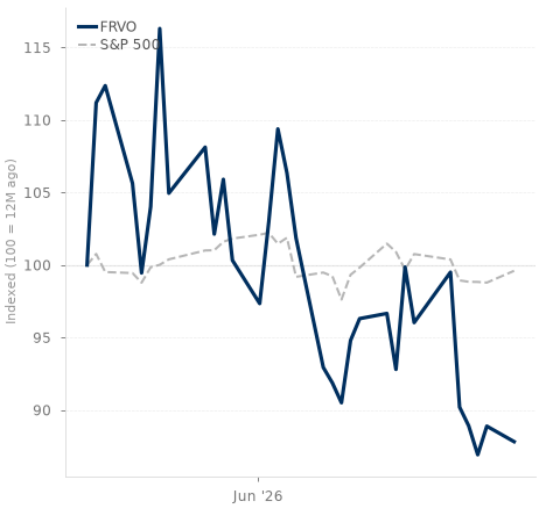
Key Data

Price (USD)	\$32.12
12M Price Target	\$48.00
Upside / (Downside)	+49.4%
Market Cap	\$9.46B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$38.00	\$34.00	\$29.00
6 Months	\$48.00	\$40.00	\$27.00
1 Year	\$60.00	\$48.00	\$25.00
2 Years	\$85.00	\$60.00	\$22.00
5 Years	\$150.00	\$90.00	\$18.00
10 Years	\$300.00	\$160.00	\$12.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary and Comm Services leading — risk-on tape, money chasing growth. AI infrastructure narrative is the dominant theme, and "AI power" is the newest branch of that tree.

COOLING OFF: Energy flat, Tech down 4% on the week — the megacap tech wobble is dragging adjacent AI-themed small caps like FRVO with it, even though FRVO's fundamentals haven't changed.

ROTATION WATCH: Money is rotating from "AI software" toward "AI picks-and-shovels" — chips, power, cooling, real estate. FRVO sits squarely in the power bucket but hasn't gotten the love yet — that's the opportunity.

RELATED PLAY: If you believe the AI-power thesis broadly, look at Constellation Energy (CEG), Vistra (VST), and nuclear/SMR names like OKLO — they're the larger-cap expressions of the same trade.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Riding the data center power deal wave — Microsoft Three Mile Island deal set the template.
- VST (Vistra): Cheapest way to play firm 24/7 power into AI hyperscaler demand.

FRVO CONTEXT: FRVO is badly lagging its "AI power" peers — CEG and VST have run hard while FRVO sits at 17% of its 52-week range. That's either the market correctly pricing in earlier-stage risk, or it's a coiled spring waiting for a catalyst. I lean toward the latter, but you need patience.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup at these prices but the earnings miss and put-heavy options flow (1.42 P/C ratio) tell me to size carefully.

POSITION SIZE: 2-4% — the upside is real (potential 2x in 18 months) but this is a volatile, cash-burning small cap. Don't bet the farm.

ENTRY POINTS: Right here (\$30-32) is actually a reasonable entry given the 52-week low is \$30. I'd scale in — half a position now, add if it dips to \$29 or breaks out above \$35 on volume.

TIME HORIZON: 18-36 months. Catalyst I'm waiting for: Utah project commercial operation announcement + first hyperscaler PPA (power purchase agreement).

WHEN TO BAIL: If Utah slips beyond Q1 2027, or if they announce a capital raise at a meaningful discount to current price (say, sub-\$28), the thesis needs a hard rethink.

HEDGING: Easy hedge — own a regulated utility ETF (XLU) alongside it. If renewable policy gets crushed, the utilities benefit from continued gas/nuclear baseload demand. You're hedging the policy risk without betting against the AI-power theme.